

How big is the HR tech market in India?

Count the employees on HR software.

Then check it against vendors and analysts.

Bottom-up from the formal workforce and what HR software costs per employee, checked against vendor revenue and third-party reports. Scope is stated, assumptions are labelled, and gaps to published figures are explained.

Core HR software in India is about a ₹1,100 to 5,600 crore market, with ₹2,800 crore as base case

~₹2,800 crore

Base case annual spend, about USD 0.29 billion

2.3 crore

Employees on HR software in the base case (30% of 7.8 crore EPFO members)

~₹4,400 crore

Base case by 2030 at 12% a year

The estimate sits well below published USD 0.9 to 1.9 billion figures. Those reports use wider scopes, and none discloses its method, so the gap cannot be fully closed from public data.

Three named vendors alone (Darwinbox, Keka, greytHR) reported about ₹790 crore revenue in FY25, so the low case (₹1,100 crore) is the lowest figure that stays plausible.

The input to test first is the share of formal employees whose employer uses HR software at all. It moves the answer by plus or minus 33%.

Decide what counts as HR tech before counting it

Included

Subscription spend on HRMS, payroll, attendance and leave software by Indian employers, including add-on modules such as performance, engagement and analytics.

Excluded

Recruitment marketplaces, job boards, background checks, outsourced payroll services, implementation fees and on-premise licences. Spend by Indian companies on foreign HR platforms is included.

Unit and year

Annual spend in rupees (₹ crore), 2026 run-rate. Converted to USD at ₹96 only to compare with published reports.

Count employees, price them, then check two other ways

1. Bottom-up (main)

Formal employees × share on HR software × annual spend per employee.

Weak spot: coverage share is an assumption.

2. Vendor floor

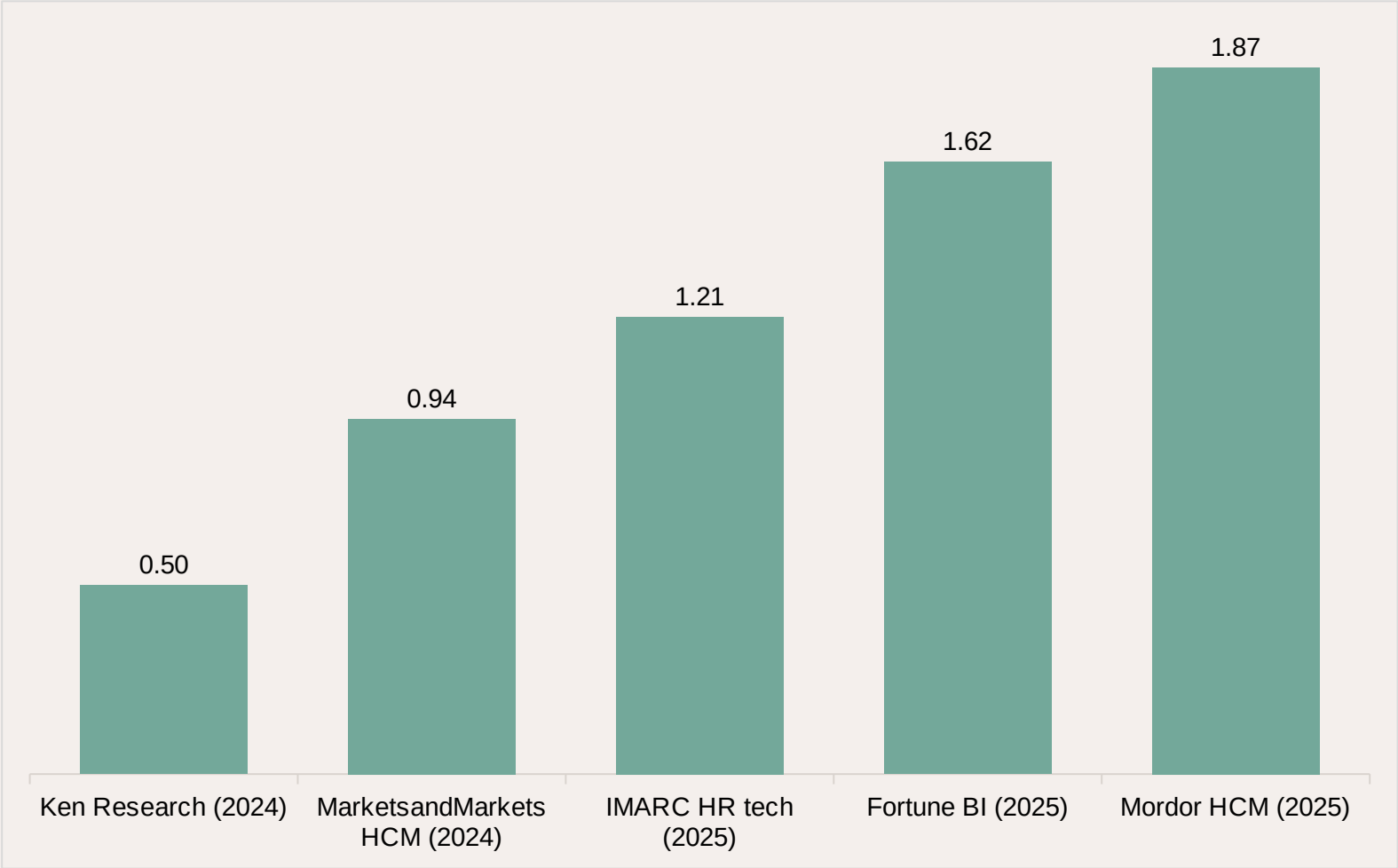
Add up revenue reported by named vendors. Gives a minimum, because it misses many vendors and mixes India with overseas revenue.

3. Published reports

Compare with five third-party estimates, then explain the gap in terms of scope.

Weak spot: methods are not disclosed.

Published India HR tech estimates differ almost fourfold



What the spread says

Range: USD 0.50 bn to 1.87 bn.

Reports label the market differently (HR tech, HCM software, talent management) and some include services.

None shows its inputs, so this deck builds its own estimate and uses these as a check.

Start from the formal workforce, not total employment

Measure	Value	Use here
Employed persons aged 15+ (2025)	61.6 crore	Context only. Most are self-employed or casual workers
Regular wage / salaried share	23.6%	About 14.5 crore people. Used as a high case for the employee base
EPFO contributing subscribers (FY26)	7.8 crore	Base employee pool. Provident fund members are on payroll, so payroll software applies
Employment reported on Udyam (FY26)	8.04 crore	Not used. Self-reported and includes micro units that rarely buy HR software

List prices put annual spend per employee at ₹600 to 2,300

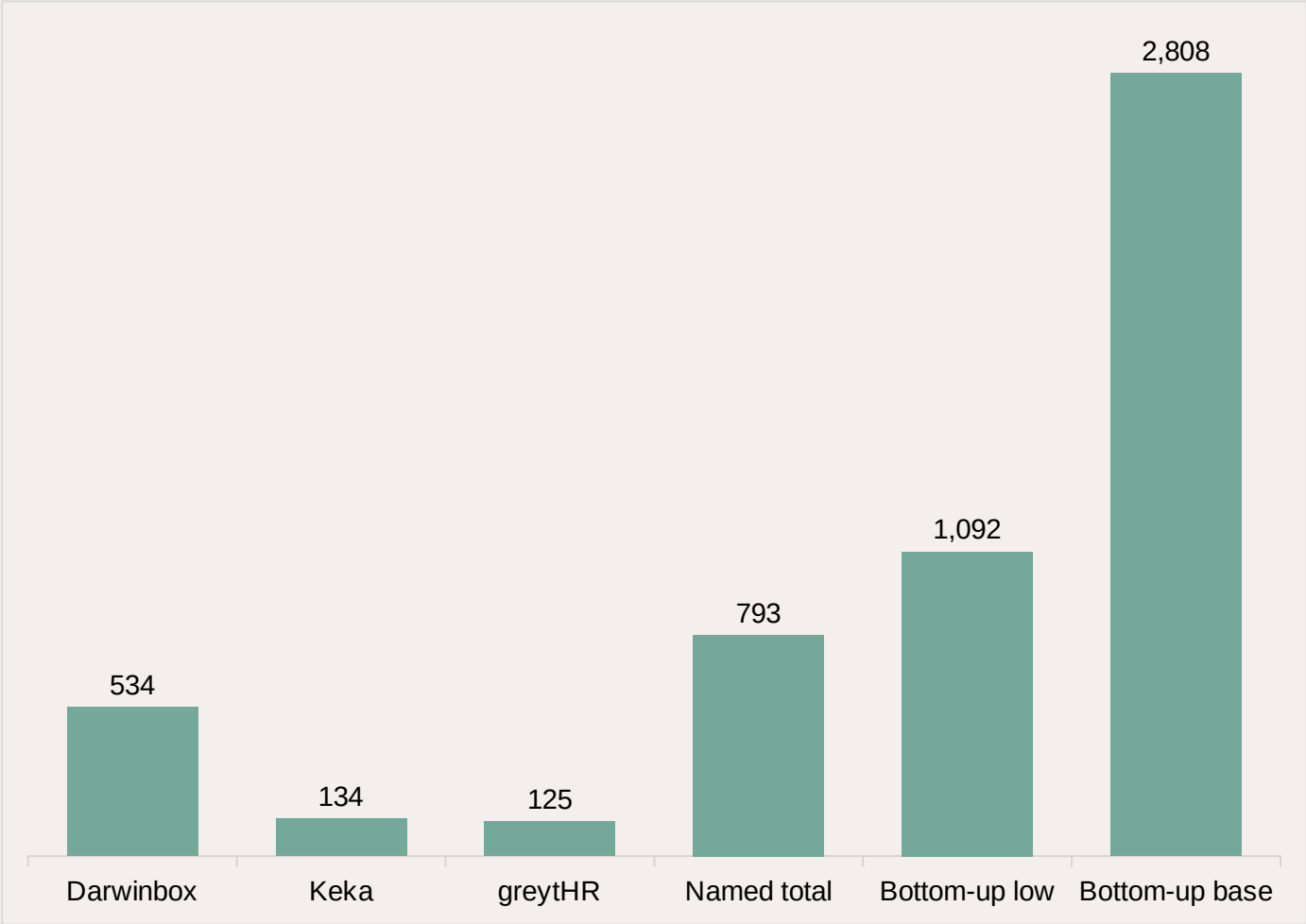
Vendor	List price (ex GST)	Per employee per year	Note
Zoho People	₹48 to 192 per user per month, annual billing, 5-user minimum	₹576 to 2,304	Analytics starts at the Professional tier
Keka	₹90 / 120 / 150 per employee per month above 100 employees, plus a monthly base fee for the first 100	₹1,080 to 1,800 at the margin	Base fee reported as ₹6,999 to 9,999 to ₹15,999 per month
Blended case	Mix of SMB and mid-market list prices, with discounts for large accounts	₹700 / 1,200 / 1,800	A4: author assumption

Employees on HR software give ₹1,092 to 5,616 crore a year

Step	Low	Base	High	Basis
Formal employees (EPFO)	7.8 crore	7.8 crore	7.8 crore	Reported
× Share on HR software	20%	30%	40%	A1: employers using HRMS or payroll software
= Employees on HR software	1.56 crore	2.34 crore	3.12 crore	Calculated
× Annual spend per employee	₹700	₹1,200	₹1,800	A2: from list prices on slide 7
= Annual spend (₹ crore)	1,092	2,808	5,616	Calculated
= In USD billion at ₹96	0.11	0.29	0.58	For comparison with reports

Note: EPFO 7.8 crore from Indian Express (Jun 2026); other lines are assumptions A1 and A2

Three named vendors already report about ₹790 crore



Reading the check

Darwinbox revenue (₹534 crore) includes overseas sales, which were 63% of its new sales in FY25, so its India share is smaller.

Zoho, Workday, SAP, Oracle, PeopleStrong and others are not counted. Zoho People revenue is not reported separately.

The floor (₹793 crore) is below every bottom-up case, as it should be.

The bottom-up base is 16% to 31% of published figures, and scope explains part of it

Report	USD bn	₹ crore	Base case share
MarketsandMarkets HCM (2024)	0.94	9,024	31%
IMARC HR tech (2025)	1.21	11,616	24%
Fortune BI (2025)	1.62	15,552	18%
Mordor HCM (2025)	1.87	17,952	16%

Likely reasons for the gap

Wider scope: recruitment, learning, services and licences.

Different definitions of the market (spend by vendors vs spend by employers).

Limited or no disclosure of method.

We cannot prove which applies, so the bottom-up figure is shown next to them, not replaced by them.

Ken Research (USD 0.50 bn, 2024) is left out of this table as the outlier.

Analytics-enabled plans are about ₹340 crore of the total

25%

A3: share of covered employees on a tier with analytics

₹576

Annual price step per employee, Zoho Essential to Professional (₹48 a month)

~₹340 crore

Analytics premium, base case (about 12% of core spend)

Zoho lists "advanced HR analytics" from its Professional tier. Keka lists "advanced analytics" in its Growth tier.

This slice is a proxy. Real workforce-analytics spend also sits in BI tools, consulting and in-house teams, which this method does not count.

A survey of HR heads on how much they pay for analytics would replace this proxy.

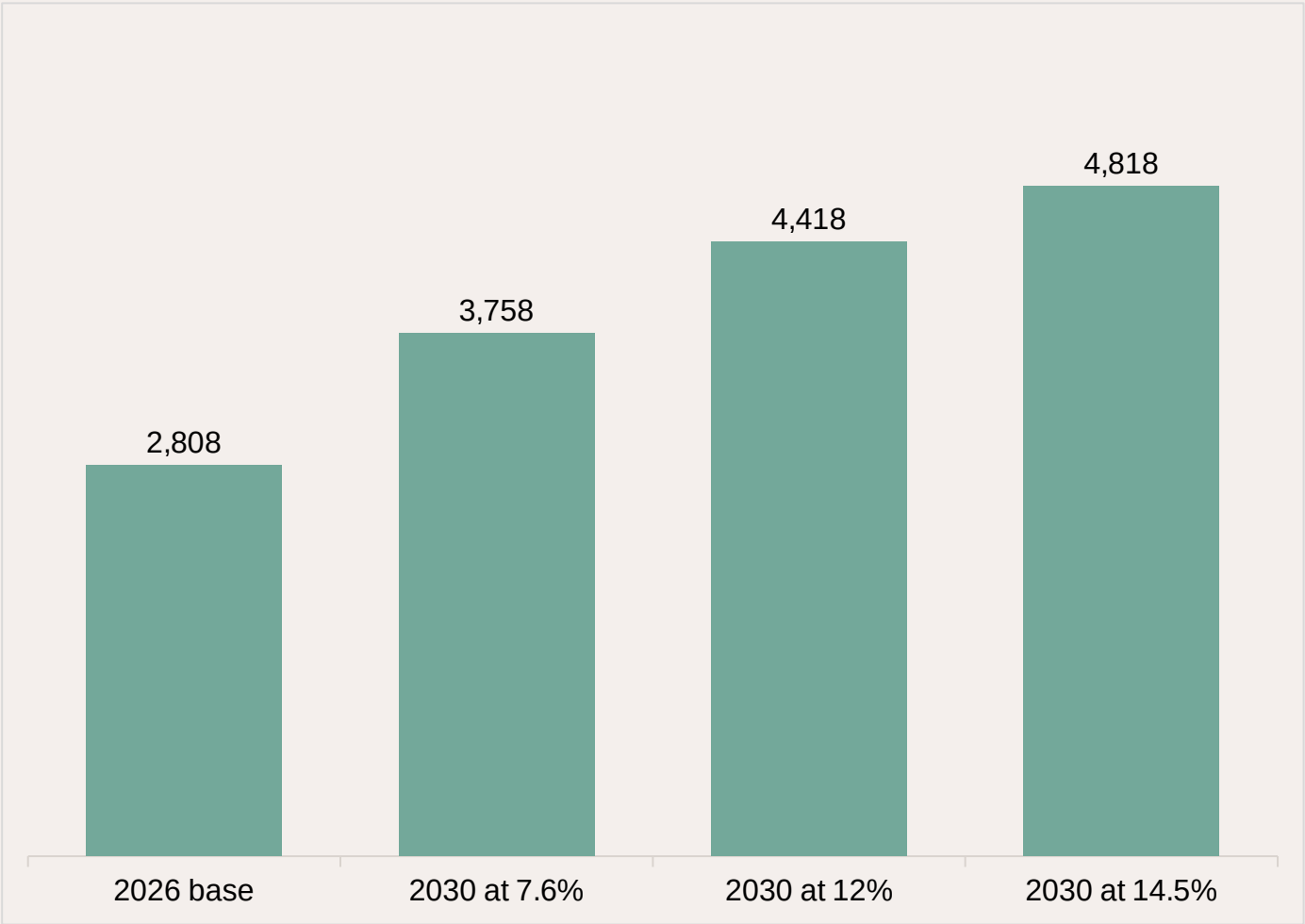
Coverage and the employee base move the answer most

Input varied	Low / high value	Low (₹ crore)	High (₹ crore)
Share of EPFO employees on HR software	20% / 40%	1,872	3,744
Annual spend per employee	₹700 / ₹1,800	1,638	4,212
Employee base	EPFO 7.8 crore (base) / all salaried 14.5 crore	2,808	5,234

The EPFO base misses regular employees who are not in provident fund. Using all 14.5 crore regular salaried workers nearly doubles the base, but many sit in micro firms that do not buy HR software.

Spend per employee is the best-grounded input. Coverage is the weakest.

At 12% a year the base case reaches ₹4,400 crore by 2030



Growth cases

- Low: 7.56%, the IMARC HR tech rate.
 - Base: 12%, close to Mordor's 11.84% for HCM software.
 - High: 14.45%, the IMARC HRMS rate.
- Growth comes from more employers adopting software and from price per employee rising as modules are added.

What this estimate cannot tell you, and how to close the gap

Limit	Why it matters	How to test
Coverage share is assumed	Largest swing in the result	Survey 150 employers by size on HR software use
EPFO is not the whole formal workforce	Government and ESI-only staff are missed	Add central and state government payroll counts
List prices, not realised prices	Discounts and add-ons vary	Interview 8 to 10 buyers on what they actually pay
Vendor revenue mixes India and overseas	Floor is loose	Use India-only splits from vendor filings
Published reports undisclosed	Gap cannot be fully explained	Request method notes from report sellers

Sources and assumption register

Sources

PLFS Annual Report 2025, MoSPI / PIB, 27 Mar 2026

Indian Express, 18 Jun 2026: EPFO 7.8 crore contributing subscribers

Financial Express, 24 Jul 2026: Udyam employment

Entrackr, 17 Oct 2025: Darwinbox FY25 revenue

Inc42 DataLabs: Keka FY25; thecompanycheck.com: Greypoint FY25

Zoho and Keka pricing pages and third-party summaries, 2026

IMARC, Mordor, MarketsandMarkets, Fortune BI, Ken Research report pages

WSJ USD/INR 96.11, 2 Oct 2026

Assumptions

A1 Share of EPFO employees on HR software 20 / 30 / 40%

A2 Annual spend per employee ₹700 / 1,200 / 1,800

A3 Analytics tier share 25%; price step ₹576 a year

A4 Growth 7.56 / 12 / 14.45% a year to 2030

A5 ₹96 per USD

Reported figures are quoted as shown in the sources. Everything else is an estimate.